

CHAPTER 4: 4 STUDIES OF 100-BAGGERS

THERE HAVE BEEN A NUMBER OF PRIOR STUDIES OF 100-baggers, besides Phelps's excellent book. I don't know whether I've found them all, but I've found a few. In at least a pair of them, Phelps was an inspiration.

There are, of course, countless studies on stocks that outperform.

But here I'm focusing specifically on the 100-bagger phenomenon, or close likenesses.

I want to highlight some of these, because they lay more groundwork for what follows. And many of the principles uncovered here are ones I'll emphasize later. There are only so many paths to 100-baggerdom, and these trailblazers — including Phelps himself — have helped map out the territory.

Tony's 100-Baggers

A fellow named Tony at TS Analysis published one informal 15-page study called "An Analysis of 100-Baggers." You can find it free online. "I am not an investment adviser or financial analyst"—Tony writes —"just a guy who likes to analyze stocks."

He looked at 19 such 100-baggers. He drew four conclusions, which I excerpt below:

- The most powerful stock moves tended to be during extended periods of growing earnings accompanied by an expansion of the P/E ratio.
- These periods of P/E expansion often seem to coincide with